NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

ADVANCED FINANCIAL ACCOUNTING

CAC 4201

Examination Paper

JULY/AUGUST 2020

This examination paper consists of 8 pages

Time Allowed: **3 hours**

Total Marks: **100**

INSTRUCTIONS

1. Answer all questions
2. Each question carries 25 marks
3. Use of calculators is permissible

MARK ALLOCATION

QUESTION	MARKS
1.	**25**
2.	**25**
3.	**25**
4.	**25**
TOTAL	**100**

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Q Question One (25 Marks)

Xakuxaku Ltd is a Beit Bridge based company 75% owned by a Nigerian citizen owns the following equity shareholdings in the following companies and has a seat on the board of each of those companies. All the companies use the Rand for all their transactions.

Baobab Ltd	25%
Nhengeni Ltd	20%
Tufu Ltd	25%

Xakuxaku Ltd. holds the largest shareholding in Baobab Ltd, where no other shareholders are larger than 10%. Another entity owns 25% of the equity shares in Nhengeni Ltd and also has a seat on its board. No other individual or entity owns more than 5% of the equity shares of Nhengeni Ltd. A single entity holds the remaining 75% of Tufu Ltd.'s equity shares and has a seat on its board.

Required

(a)Advise in a letter to a potential investor which entities are likely to be associates of Xakuxaku Ltd in accordance with IAS 28 Investments in Associates.

1. Baobab Ltd only
2 Baobab Ltd and Nhengeni Ltd
3 Baobab Ltd and Tufu Ltd
4 All the entities.

(7 marks)

(b) Advise in an E-mail to the majority shareholder why the financial statements are not in Naira currency. **(7 marks)**

(c)Write a memorandum to the Managing Director on:

(i) how the owner of the 25% shares in Xakuxaku Ltd can have control of the company and;

(5 marks)

(ii) how gain on bargain purchase from one of the associates was treated. **(6 marks)**

Question Two (25 Marks)

Musasa Ltd and Mnondo Ltd acquired 40% and 30% respectively of the shares in Marula (Pvt) Ltd in a joint operation. Set out below is the trial balance of Marula (Pvt) Ltd as at 31 December 2019

	$	$
Sales		1 891 400
Purchases	785600	
Administrative expenses	247 200	
Distribution costs	194 800	
Cost of developing new production process (Note 2)	150 000	
Plant and machinery		
Cost	1 341 000	
Accumulated depreciation at 31 December 2018		712 600
Land at cost	1 500 000	
Buildings		
Valuation (Note 4)	2 800 000	
Accumulated depreciation at 31 December 2018		210 000
Inventories at 31 December 2018	71 200	
Retained earnings at 31 December 2018		2 499 860
Revaluation surplus at 31 December 2018		1 202 500
Ordinary share capital ($1 shares)		490 000
Bank account		101 400
Cassia Ltd (Note 5)	96 000	
Interest paid	2 460	
Trade and other receivables (Note 1)	281900	
Trade and other payables		362 400
	7 470 160	7 470 160

Additional information

1. One of Marula (Pvt) Ltd.'s customers, Zhanje Ltd, went into liquidation in January 2020. At 31 December 2019, Zhanje Ltd owed Marula (Pvt) Ltd $22 000. The liquidator has indicated that only 20 % of this debt will be recoverable.

2. During the year Marula (Pvt) Ltd began to develop a new production process. Costs were first incurred on 1 May 2019 and accrued evenly over the period to 31 December 2019. On 1 December 2018 the production process met the relevant criteria for capitalization as development expenditure in accordance with IAS 38, Intangible Assets. The company expects to introduce the new process in January 2020.

3. Inventories on hand at 31 December 2019 were initially valued at a cost of $90 000. However, the production director has estimated their net realizable value to be $82 000.

4. Marula (Pvt) Ltd revalued its building to $2 800 000 some years ago. At the date of the revaluation the carrying amount of the building was $1 500 000 and their remaining useful life was estimated at 40 years. Marula (Pvt) Ltd makes an annual transfer

between the revaluation surplus and retained earnings in accordance with best practice. Depreciation on buildings is presented in administrative expenses.

5. On 1 January 2019 the directors entered into an agreement with Accacia Ltd to purchase a large packing machine with a cash price of $ 450 000. The terms of the agreement required a payment of $96 000 on 1 January 2019 and $384 000 on 31 December 2019. The $96 000 was duly paid on that date. Marula (Pvt) Ltd depreciates this type of equipment on a sum-of-the-digits basis. The machine has a life of five years. The accounting assistant has not recorded this transaction except the initial payment.
6. Other plant and machinery are depreciated on a straight-line basis over five years. Depreciation on plant and machinery is presented in cost of sales.
7. The company's bank reconciliation at 31 December 2019 to the above nominal ledger balance, showed that interest for December 2019 of $1 000 had been taken from the company's bank account but that the nominal ledger account did not yet reflect this payment.
8. The income tax expense for the year is estimated at $20 000.

Required

(a) Prepare the statement of profit or loss and other comprehensive for Marula (Pvt) Ltd for period ended 31 December 2019 and a statement of financial position that will be used by Musasa Ltd and Mnondo Ltd in preparing their financial statements. **(22 marks)**

(Notes to the financial statements are not required. Expenses should be analysed by function).

(b) Calculate and comment on the operating cycle of Marula (Pvt) Ltd. **(3 marks)**

(**25 marks)**

Question Three (25 Marks)

Stone Ltd has a number of subsidiaries in Zimbabwe, one of which, Brick Ltd, was acquired during the current year ending 31 December 2019. The following are the draft consolidated financial statements for Stone Ltd for the period ended 31 December 2019 and the statement of financial position of Brick Ltd as at the date of acquisition. Stone Ltd has not yet prepared its consolidated statement of changes in equity.

Consolidated statement of profit or loss and other comprehensive income for the period ending 31 December 2019 (extract)

	$'000
Loss from operations	(611)
Finance cost	(25)
Loss before tax	(636)
Income tax expense	(20)
Loss for the year	(656)
Loss attributable to	
Owners of Stone Ltd	(686)
Non-controlling interest	30
	(656)

Statements of financial position

	Stone Ltd consolidated		***Brick Ltd***
	31 December 2019	*31 December 2018*	*at acquisition*
ASSETS	$'000	$'000	$'000
Non-Current Assets			
Property, Plant and Equipment	2 145	1 980	500
Intangibles	215	130	-
	2 360	2 110	500
Current Assets			
Inventories	670	590	130
Trade and other receivables	520	610	200
Cash and cash equivalents	10	35	50
Total assets	3 560	3 345	880
EQUITY AND LIABILITIES			
Equity attributable to owners of Stone Ltd			
Ordinary share capital ($1 shares)	1 500	800	500
Share premium account	700	500	110
Retained earnings	367	1 064	120
	2 567	2 364	730
Non-controlling interest	341	352	-
Total equity	2 908	2 716	730
Current liabilities			

Trade and other payables	521	489	100
Taxation	131	140	50
Total equity and liabilities	3 560	3 345	880

Additional information

1. Stone Ltd issued 500 000 $1 shares at a premium of 25c and paid $ 80 000 cash sum, in consideration for 80% of Brick Ltd.'s shares. At the date of acquisition all of Brick Ltd.'s assets and liabilities were recorded at their fair values, with the exception of property, plant and equipment which had a fair value of $100 000 in excess of its carrying amount.
2. During the year Stone Ltd made a further issue of ordinary shares, again at a premium over nominal value.
3. An analysis of the movement on group property, plant and equipment during the year showed that plant with a carrying amount of $500 000 was sold for $420 000. Total depreciation charges for the year were $657 000.
4. Intangibles comprise the goodwill arising on acquisition of Brick Ltd, and research and development expenditure capitalized in accordance with IAS 38 *Intangible assets*. The costs relate to a single project which is now complete and in respect of which amortization commenced during the year.
5. Ignore deferred tax'.

Required

(a) Prepare a consolidated statement of cash flows for Stone Ltd for the year ended 31 December 2019. using the indirect method (A note showing the effect of the acquisition of Brick Ltd is **not** required). . **(15 marks)**

(b) Prepare journals and proforma journals at date of acquisition of Brick Ltd **(7 marks)**

(c) Identify any missing information required to prepare a Taffler's Z-Score for Brick Ltd at date of acquisition. **(3 marks)**

Question Four (25 Mark)

Hanga Ltd has investments in Tendele Ltd which is a subsidiary and in Dhadha Ltd in which it holds 10% of its shares. The draft statement of financial position of Hanga Ltd and Tendele Ltd at 31 March 2020 is shown below.

	Hanga Ltd		*Tendele Ltd*	
ASSETS	R'000	R'000	R'000	R'000
Non-Current Assets				
Property, Plant and Equipment	6 720		820	
Investment in Tendele Ltd	1 540		-	
Investment in Dhadha Ltd	1 200		-	
		9 460		820
Current Assets				
Inventories	360		170	
Trade and other receivables	370		230	
Amount due from Tendele Ltd	75		-	
Cash and cash equivalents	15		10	
		820		410
Total assets		10 280		1 230
EQUITY AND LIABILITIES				
Equity				
Issued R1 ordinary shares		5 000		600
Revaluation surplus		200		40
Retained earnings		1 210		220
Total equity		6 410		860
Non-current liabilities				
Borrowings		3 200		50
Current liabilities				
Trade and other payables	670		270	
Amount due to Hanga Ltd	-		50	
		670		320
Total equity and liabilities		10 280		1 230

Additional information

1. Hanga Ltd acquired 450 000 R1 ordinary shared in Tendele Ltd on 1 April 2018 for R1.54 million. At that date Tendele Ltd.'s retained earnings was a credit of R140 000 and the balance on the revaluation surplus was a credit of R28 000.
2. Dhadha Ltd is not an associate of Hanga Ltd.
3. The fair value of the plant of Tendele Ltd was R200 000, in excess of its carrying amount at 1 April 2018. This plant is to be depreciated over five years from the acquisition date on a straight line basis, with no residual value.

4. Hanga Ltd sold plant to Tendele Ltd on 1 April 2019 for R96 000; the plant had cost R100 000 on 1 April 2018 and had a carrying amount of R80 000. The plant is to be depreciated over its estimated remaining useful life of four years.
5. Hanga Ltd sold goods to Tendele Ltd at a price of R25 000 on 31 March 2020, which were not received by Tendele Ltd until 5 April 2020. Hanga Ltd calculates selling price at a markup of 25% on cost.
6. A major cash fraud of R20 000 was discovered by the internal auditors just prior to the end of the reporting period. It is unlikely that any amount will be recovered. Hang's financial controller has omitted to adjust for this fraud.
7. Corporate and capital gains taxes are all at 25%.
8. NCI is measured on the bases of proportionate share of assets.

Requirements

a. Prepare the consolidated statement of financial position of Hanga Ltd at 31 March 2020. Note: Work to the nearest R'000

(16 marks)

b. Hanga Ltd is considering the purchase of 45% shares in Dhadha Ltd on 1 April 2020. State briefly and justify the appropriate accounting treatment in the consolidated statement of financial position of Hanga Ltd after this purchase. **(3marks)**

c. Identify the reconciliations that will be provided in the operating segment report of Hanga Ltd on 31 March 2020. **(6 marks)**

END OF EXAMINATION

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DEPARTMENT OF ACCOUNTING

ADVANCED FINANCIAL ACCOUNTING

CAC 4201

Examination Paper

MAY 2019

This examination paper consists of 7 pages

Time Allowed: **3 hours**

Total Marks: **100**

INSTRUCTIONS

4. Answer all questions
5. Each question carries 25 marks
6. Use of calculators is permissible

MARK ALLOCATION

QUESTION	MARKS
1.	**25**
2.	**25**
3.	**25**
4.	**25**
TOTAL	**100**

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Question 1(25 marks)

A number of years ago Gwenoro Dam Ltd acquired 2.1 million shares of Bangala Dam Ltd.'s ordinary share capital and 900 000 of Chivero Dam Ltd.'s ordinary share capital. Balances on retained earnings at the date of acquisition were $195 000 for Bangala Dam Ltd and $130 000 for Chivero Dam Ltd.

On 1 July 2018 Gwenoro Dam Ltd purchased 85% of the ordinary share capital of Ncema Dam Ltd for $3 million. At the date of acquisition, the fair value of Ncema Dam Ltd.'s assets and liabilities were the same as their carrying amounts except for its head office (land and buildings) which had a fair value of $320 000 in excess of its carrying amount. The split of the value of land to buildings is 50:50 and the buildings had a remaining life of 40 years at 1 July 2018. Ncema Dam Ltd.'s profits accrued evenly during the year.

Extracts from the draft individual financial statement of the four companies for the reporting period 30 September 2018 are shown below:

Statement of profit or loss and other comprehensive income

	Gwenoro Dam Ltd $	*Bangala Dam Ltd* $	*Ncema Dam Ltd* $	*Chivero Dam Ltd* $
Revenue	1,410,500	870,300	640,000	760,090
Cost of sales	(850,000)	(470,300)	(219,500)	(345,000)
Gross profit	560,500	400,000	420,500	415,090
Operating expenses	(103,200)	(136,000)	(95,120)	(124,080)
Profit before taxation	457,300	264,000	325,380	291,010

Statements of financial position (extracts)

	Gwenoro Dam Ltd $	Bangala Dam Ltd $	Ncema Dam Ltd $	Chivero Dam Ltd $
Ordinary Shares $1	4,000,000	3,500,000	2,000,000	3,000,000
Reserves	1,560,000	580,000	605,000	340,000
TOTAL	5,560,000	4,080,000	2,605,000	3,340,000

Additional Information:

1. During the year Gwenoro Dam Ltd sold goods to Bangala Dam Ltd and Chivero Dam Ltd at a mark- up of 15%. Bangala Dam Ltd $149 500 and $207 000 to Chivero Dam Ltd respectively. At the reporting date Bangala Dam Ltd was holding half of the goods and Chivero Dam Ltd was holding a third of the inventory.
2. Chivero Dam Ltd investment was at 30 June 2009 impaired by $10 000.
3. Tax rate is at 25%.

Required

A consolidated statement of profit or loss and other comprehensive income for the reporting period 30 September 2018 and an extract of the statement of changes in equity (Notes are not required). **(25 marks)**

Question 2(25 marks)

Batoka Gorge Fisheries Ltd has four business segments which are reported separately in its internal accounts. The segments are listed below. Each business segment is a 100% owned subsidiary of the group. The results of these segments for the reporting period 31 December 2018 are as follows:

Segment information as at 31 December 2018

	Revenue *External*	*Internal*	*Segment results (profit/loss)*	*Segment assets*	*Segment liabilities*
	$m	$m	$m	$m	$m

Tiger fish: Whole	80	4	18	78	34
Fillet	10	6	(2)	16	6
Kapenta fish: Dry	60	10	(16)	70	24
Flesh	50	0	(8)	24	8
Bream Whole	120	130	30	192	64
Crocodile skin	80	8	(8)	116	94
	400	158	14	496	230

There were no significant inter-company balances in the segment assets and liabilities.

Required:

Discuss by specific reference to the information above:

(a) Which segments of Enterprise would constitute a "reportable" segment under IFRS 8 "Operating Segments "as at 31 December 2018. **(8 marks)**

(b) Which items will be shown in the disclosure notes of Batoka Gorge Fisheries Ltd as at 31 December 2018. **(10 marks)**

(c) There was a gain on bargain purchase for one of the subsidiaries. What are the procedures Batoka Gorge Fisheries Ltd should do before recognising it . **(7 marks)**

Question 3 (25 marks)

Company Mazwikadei whose reporting date is 30 September 2018, has appointed Mr Mzali, Mr Bambo and Mrs Hama as committee members of the investment committee of the board effective 1 October 2017.The trio are not au fait to some of the accounting jargon and standards. They have read your report on the ten companies that Company Mazwikadei is an investor. They have asked you as the Finance Director to write a memo explaining the following:

(a) Why Mayfair Dam Ltd and Osbourne Odzi Dam Ltd have different related party disclosures compared to the other companies. **(6 marks)**

(b) What a Taffler's Z Score of 0.3 mean. This was in your report of Mutirikwe Dam Ltd. **(6 marks)**

(c) How goodwill of a subsidiary should best be illustrated-this is for the directors' future use as a checklist. **(6 marks)**

(d) Whether the share of profit of a foreign investment Ruya Dam Ltd (a company in which it has 55 % interest but no control) is correct as it appeared to them under-stated. Items from the statement of profit or loss and other comprehensive income of the company for the period ending 30 September 2018 are as follows: Closing inventory $34 400, opening inventory $42 400, operating expenses $36 000, purchases $160 000, revaluation loss on plant on 31 March 2018 $2 000 and tax expense $24 000.

Exchange rates were as follows:1/10/17 Zim Dombo (ZD) 1=$10

31/3//18	ZD 1=$9
30/9/18	ZD1=$7
Average reporting period	ZD1=$8

The functional and presentation currency of Mazwikadei is the Zim Dombo (ZD).

(7 marks)

Question 4 (25 marks)

Maleme Dam Ltd has a number of subsidiary companies and one joint venture company. There have been no changes in the composition of the group in the current year. The groups consolidated statement of profit or loss and other comprehensive income for the year ended 30 June 2017 and

consolidated statement of financial position as at that date are set up below together with some additional information.

Consolidated statement of profit or loss and other comprehensive income for the period ending 30 June 2017 (extract)

	$
Profit from operations	2 567 100
Finance cost	(153 700)
Share of profit of joint venture	456 800
Profit before tax	2 871 200
Income tax expense	(971 000)
Profit for the year	**1 900 200**
Profit attribute to ;	
Parent	1 667 300
Non-Controlling interest	232 900
	1 900 200

Consolidated statement of financial position as at 30 June 2017

	2017 $	2016 $	
Non-current assets			
Property plant and machinery	5 266 000	5 643 500	
Intangibles		1 678 500	
Investments in Joint venture	1 487 500	1 456 400	
	8 321 000	**8 778 400**	
Current Assets			
Trade and other receivables	3 303 800	3 105 600	
Cash and cash equivalents	380 600	252 500	
	3 684 400	**3 358 100**	
Total Assets	**12 005 400**	**12 136 500**	
EQUITY AND LIABILITIES			
Ord share capital $1 shares	1 000 000	1 000 000	
Share premium account	600 000	600 000	
Retained Earnings	5 845 300	5 468 300	
	7 445 300	7 068 300	
Non-Controlling interest	2 123 500	2 456 700	
	9 568 800	**9 525 000**	
Non-Current Liabilities			

Borrowings	600 000	550 000	
Current Liabilities			
Trade and other payables	966 600	1 001 500	
Income tax payable	870 000	1 060 000	
	1 836 600	2 061 500	
Total Equity and Liabilities	**12 005 400**	**12 136 500**	

Additional Information

1. The consolidated statement of changes in equity for the year showed that Maleme Dam Ltd declared ordinary dividends during the year.

2. During the year Maleme Dam Ltd group sold plant and equipment with a carrying amount of $530 000 making a loss of $35 000.The group purchased plant and equipment during the year for cash of $608 900.

3. The intangibles balance relates to goodwill which arose in the previous years on the acquisition of Maleme Dam Ltd.'s subsidiary companies. Certain impairment losses in respect of this goodwill were written off during the current year

4. Trade and other payables include accrued interest of $25 000 (2016: $31 000).

5. Borrowings at 30 June 2016 included a loan from Maleme Dam Ltd.'s bank of $200 000 which was repaid during the current year before its due date. Additional new borrowings were taken out from an alternative bank.

Required

(a) Prepare a consolidated statement of cash flows for Maleme Dam Ltd for the period ending 30 June 2017. **(20 marks)**

(b) Calculate any three group cash flow ratios and explain their limitations **0r**

Explain differences between relevant activities and cash flow operating activities. **(5 marks)**

THIS IS THE END OF THE EXAM PAPER

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CAC 4201

Supplemental Examination Paper

AUGUST 2019

This examination paper consists of 5 pages

Time Allowed: **3 hours**

Total Marks: **100**

INSTRUCTIONS

7. Answer all questions
8. Each question carries 25 marks
9. Use of calculators is permissible

MARK ALLOCATION

QUESTION	MARKS
1.	**25**
2.	**25**
3.	**25**
4.	**25**
TOTAL	**100**

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Question 1 (25 marks)

Lemon Ltd acquired 2 400 000 of the 3 million equity shares in Apple Ltd on 1 July 2015 when the retained earnings were R 15 000 000. Non-controlling interest was valued at its fair value of R4 050,000 acquisition date. The consolidation for the acquisition was as follows:

Cash of R3 000 000 paid on 1 July 2017 (Normal interest is 8%)

Cash of R4 785 000 paid on 1 July 2015

Transfer of 3million Lemon Ltd shares with a normal value of R1 each and valued at R9 on acquisition date.

On date of acquisition the fair value of net assets was as the book value with the exception of PPE that had a fair value that was R1 800 000 higher than its carrying value. The assets assessed to have

a remaining useful life of six years from date of acquisition. Depreciation is charged to costs of sales.

On 30 June 2018 goodwill arising on acquisition of Apple Ltd was impaired by 20%'

In the year to 30 June 2018 Apple Ltd bought goods valued at R900 000. 20% of the items remain in Apple Ltd `s inventory at end of reporting period. Lemon Ltd earns 25% gross margin on sales.

Lemon Ltd received dividend income from Apple Ltd and also dividends from Kiwi Ltd in which it holds 10% shareholding.

The statements of P/L and other comprehensive income from Lemon Ltd and its subsidising Apple for the reporting period 30 June 2018 are as follows:

Statement of P&L and the comprehensive income for the reporting period 30 June 2018

	Lemon Ltd	Apple Ltd
	Rand	Rand
Revenue	9 600	7 200
Cost of sales	(5 400)	(4 200)
Gross profit	4 200	3 000
Admin expenses	(1050)	(750)
Distribution costs	(900)	(450)
	2250	1 800
Investment Income	1200	_
Finance cost	(420)	(330)
Profit before tax	3 030	1 470
Tax expense	(480)	(450)
Profit for the year	2550	1020

Other Comp. Income		
Revaluation of PPE	120	90
Tax effect	(36)	(30)
Other Comp Income	256	180
Total Comp Income	2 634	1 080

Statement of Changes of equity for the reporting period ended 30 June 2018

	Lemon Ltd	Apple Ltd
Equity 1 July 2017	36 000	24 600
Total comprehensive income	2 634	1080
Dividends	(1 800)	(3 600)
Equity 30 June 2018	36 834	24 480

Required:

Prepare journal and pro-forma journals entries for the period 30 June 2018. Assume the capital gains tax is 30%.

Question 2(25 marks)

Discuss the following with a board member

(a) Toffler's Z scene (5 marks)
(b) G/P and P.E for a group (5 marks)
(c) Control of an entity through a contract (5 marks)
(d) Impairment of an associate (5 marks)
(e) Treatment of additional 10% shares in any entity in which an investor holds 70 % (5 marks)

Question 3(25 marks)

(a) From Question 1 figures carry out a vertical analysis of the Lemon Ltd and Apple Ltd and comment on the results. (20 marks)

(b) What are the limitations of group ratios? (5 marks)

Question 4(25 marks)

The following are abridged final statements of Orange Ltd, Pineapple Ltd and Avacado Ltd for the reporting period ending 30 June 2017:

Figures in $000

	Orange Ltd	**Pineapple Ltd**	**Avacado Ltd**
	$	$	$
Revenue	150 000	94 000	118 000
Cost of sales	(56 000)	(33 000)	(42 000)
Gross profit	94 000	61 000	76 000
Admin expenses	(30 000)	(15 000)	(22 000)
Distribution costs	--	(5 000)	------
Profit from operations	64 000	41 000	54 000
Investment Income -dividends	6 300		_
Finance cost			(4 200)
Interest income	4 200		
Profit before tax	74 500	41 000	49 800
Tax expense	(23 870)	(14 350)	17 430
Profit for the year	50 630	26 650	32 370

Statement of Financial Position-30 June 2017

Assets

Non-current assets	Orange Ltd	Pineapple Ltd	Avocado Ltd
PPE	103 000	61 000	109 000
Investment in Pineapple Ltd	21 000		
Investment in Avocado Ltd	24 000		
Loan to Avocado Ltd	20 000		
	168 000	61 000	109 000
Current assets	26 650	46 500	46 500
	194 650	107 500	157 600

Equity and Liabilities

Issued shares of $1	60 000	10 000	10 000

9%Non-cumulative preference			
Shares			10 000
Retained profits	134 650	97 500	117 600
	194 650	107 500	137 600
Non-current liabilities			
Loan from Orange Ltd			20 000
	194 650	107 500	157 600

Statement of Changes in Equity -30 June 2017

	%		
Balance 1 July 2016	94 020	76 850	92 030
Profit for the year	50 630	26 650	32 370
Dividends paid-preference			(1 800)
-ordinary	(10 000)	(6 000)	(5 000)
Balance 30 June 2017	134 650	97 500	117 600

Additional information

1.Orange Ltd obtained 40% interest in Pineapple Ltd on 1 January 2013 when the retained earnings of Pineapple Ltd were $39 000 000.

2.On 1 July 2014 Orange Ltd obtained 30 % equity in Avocado in a Joint venture with Banana Ltd when the retained earnings of Avocado Ltd were $31 000 000.

3.During the year ended 30 June 2017 Orange Ltd started selling inventory to Pineapple Ltd at cost plus 20%. Total inventory of $12 000 000 at the reporting was purchased from Orange Ltd.

4.Assume a tax rate of 25%.

Required

Prepare a statement of profit or loss and other comprehensive income and the statement of financial position for the period ending 30 June 2017. All notes relating to investments are to be given.

THIS IS END OF THE EXAMINATION PAPER

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Supplemental Examination Paper

JULY 2015

This examination paper consists of 6 pages

Time Allowed: **3 hours**

Total Marks: **100**

INSTRUCTIONS

1. Answer all questions
2. Each question carries 25 marks
3. Use of calculators is permissible

MARK ALLOCATION

QUESTION	MARKS
1.	**25**
2.	**25**
3.	**25**
4.	**25**
TOTAL	**100**

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Question 1(25 marks)

Distinguish between the following:

(a)Presentation currency and functional currency. **(6 marks)**

(b)Joint operator and venture operator **(6 marks)**

(c)Diluted EPS and headline EPS. **(6 marks)**

(d)Relevant activities (IFRS 10) and Cash flow investing activities (IAS 7) **(7 marks)**

Question 2(25 marks)

On 1 April 2014 Valley Ltd acquired 3.2 million of Hill Ltd's $0.50 Ordinary shares at a cost of $29 million. Valley Ltd acquired 6.25 million of Cave Ltd's $1 Ordinary shares several years ago.

The summarised statements of financial position of the three companies at 31 December 2014 are shown below

	Valley Ltd $	Hill Ltd $	Cave Ltd $
Non-current assets			
Property plant and machinery	610 000	20 500	32 000
Investments in Hill Ltd	29 000		
Investments in Cave Ltd	12 000		
	651 000	**20 500**	**32 000**
Current Assets			
Inventories	188 000	9 000	16 000
Trade and other receivables	130 000	21 000	11 500
Cash and Cash equivalents	6 000	1 500	500
	324 000	**31 500**	**27 500**
Total Assets	**975 000**	**52 000**	**59 500**
EQUITY AND LIABILITIES			
Issued ORD shares $1	356 000		25 000
Issued $0.50 ORD Shares		20 000	
Retained Earnings	125 830	4 500	9 900
Total Equity	**481 830**	**24 500**	**34 900**
Non-Current Liabilities			
Bank Loan	292 000		
Current Liabilities			
Trade and other payables	178 000	25 500	15 800
Bank Overdraft			7600
Taxation	23 170	000	1 200
	201 170	27 500	24 600

Total Equity and Liabilities	**975 000**	**52 000**	**59 500**

ADDITIONAL INFORMATION

(i). At the date of acquisition Hill Ltd.'s retained earnings were $1 750 000.There were no other reserves.

(ii)The fair value of assets, liabilities and contingent liabilities of Hill Ltd were the same as their carrying amounts with no exception of the legal claim which had been disclosed in Hill Ltd.'s financial statements at the date of acquisition as a contingent liability. At the date of acquisition the legal advisors assessed the fair value of the claim as being $500 000.

(iii).At the date of acquisition Cave Ltd had a balance of its retained earnings of $4 300 0000.There were no other reserves .The fair value of assets , liabilities and contingent liabilities of Cave Ltd were the same as their carrying amounts.

(iv). Following acquisition Hill Ltd sold goods to Valley Ltd at a mark-up of 20%.The goods cost Hill Ltd $600 000 and one third remained in the inventory at year end.

(v).At the year-end Valley Ltd had intercompany receivables balances due from Hill Ltd and Cave Ltd of $5 000 000 and $8 000 000 respectively .These amounts were shown in trade receivables and trade payables accordingly .

(vi).Valley Ltd has undertaken annual impairment reviews of goodwill .At 31 December 2013 an impairment loss of $5 million in respect of Cave Ltd was recognised .An impairment loss of $1 500 000 has been identified in respect of Hill Ltd for the year ended 31 December 2014.

(vii)NCI is measured on proportionate share of fair value of net assets.

(viii) Ignore an implication on deferred tax.

Required

Prepare the consolidated statement of financial position of Valley Ltd as at 31 December 2014 , **(20 marks**)

and any two consolidation notes relating to Caves Ltd (**5 marks)**

Question 3 (25 marks)

MNO Ltd has a number of subsidiary companies and one associated company. There have been no changes in the composition of the group in the current year .The groups consolidated statement of profit or loss and other comprehensive income for the year ended 30 September 2014 and consolidated statement of financial position as at that date are set up below together with some additional information .

Consolidated statement of profit or loss and other comprehensive income for the year ended 30 September 2014 (extract)

$

Profit from operations	2 567 100
Finance cost	(153 700)
Share of profits of associate	456 800
Profit before tax	2 871 200
Income tax expense	(971 000)
Profit for the year	**1 900 200**
Profit attribute to ;	
Owners of MNO Ltd	1 667 300
Non-Controlling interest	232 900
	1 900 200
Consolidated statement of financial position as at 30 September	

	2014 $	2013 $	
Non-current assets			
Property plant and machinery	5 266 000	5 643 500	
Intangibles	1 567 500	1 678 500	
Investments in Associate	1 487 500	1 456 400	
	8 321 000	**8 778 400**	
Current Assets			
Trade and other receivables	3 303 800	3 105 600	
Cash and Cash equivalents	380 600	252 500	
	3 684 400	**3 358 100**	
Total Assets	**12 005 400**	**12 136 500**	
EQUITY AND LIABILITIES			
Equity attributable to owners of MNO Ltd			
Ord share capital $1 shares	1 000 000	1 000 000	
Share premium account	600 000	600 000	
Retained Earnings	5 845 300	5 468 300	
	7 445 300	7 068 300	
Non-Controlling interest	2 123 500	2 456 700	
	9 568 800	**9 525 000**	
Non-Current Liabilities			
Borrowings	600 000	550 000	
Current Liabilities			

Trade and other payables	966 600	1 001 500	
Income tax payable	870 000	1 060 000	
	1 836 600	2 061 500	
Total Equity and Liabilities	**12 005 400**	**12 136 500**	

Additional Information

1. The consolidated statement of changes in equity for the year showed that MNO Ltd declared ordinary dividends during the year.

2. During the year MNO Ltd group sold plant and equipment with a carrying amount of $530 000 making a loss of $35 000 .The group purchased plant and equipment during the year for cash of $608 900.

3. The intangibles balance relates to goodwill which arose in the previous years on the acquisition of MNO Ltd.'s subsidiary companies .Certain impairment losses in respect of this goodwill were written off during the current year

4. Trade and other payables include accrued interest of $25 000 (2013:$31 000).

5. Borrowings at 30 September 2013 included a loan from MNO Ltd.'s bank of $200 000 which was repaid during the current year before its due date .Additional new borrowings were taken out from an alternative bank.

Required

(a) Prepare a consolidated statement of cash flows for MNO Ltd for the year ended 30 September 2014, including a note reconciling profit before tax to cash generated from operations using the indirect method. **(18 marks)**

(b) Advantages and disadvantages of disclosing operating segments. (**7marks)**

Question 4(25 marks)

Mrs Pro Fit, a majority shareholder in Unique Perfume Ltd, is worried that the share price of his investment has dropped to $1.05(31 March 2015) from $1.55(31 March 2014) She thinks the company is financial distress although it paid a dividend of $120 000.There is also is a foreign company interested in buying significant shares of the company at $1.05 a share. She thinks this may be a good deal if the company is in financial crisis.

Extracts of the financial statements are given below:

Statement of profit or loss and other comprehensive income for the year ending 31 March 2015

$ 000

Turnover			5210
Cost of sales			3768
Gross profit			1442
Distribution and admin expenses			1117
Operating profit		325	
Finance cost			55
Profit before tax			270
Taxation expense			85
Profit after tax			65

Statement of Financial Position as at 31 March 2015

				$000
Non-Current Assets	-PPE			1991
Current Assets				
Inventory		355		
Trade receivable		204		
Cash and cash equivalent		52		
		611		611
				2602
Equity and Liabilities				
Ordinary Shares ($1 each)	1000			
Retained earnings	835			
			1835	
Non-current liabilities			544	
Current Liabilities				
Bank overdraft	81			
Trade payables	101			
Other payables	41			
	223		223	
			2602	

Required

(a)An Altman's Z-Score for the company and a comment on the concern of the shareholder, Mrs Pro Fit. (**15 marks)**

(b)Advise the shareholder of two share valuation methods and the one suitable for her.

(10 marks)